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**India's
position in
the world
economy will
continue
to strengthen
in the coming
years**

BETTING ON INDIA'S CONSUMER

The country's long runway of growing affluence and consumption spend, coupled with proliferating digital fluency, establishes structural resilience

► **AMID THE GEOPOLITICAL** uncertainties in the world today, India stands out for its resilient growth. A confluence of factors is contributing to this, including consistent and credible fiscal and monetary policy, world-leading ~7% GDP growth, a broadening infrastructure footprint, sustainable capital formation, a strong banking system, digitisation across all sectors, fast-growing capital markets and a robust ecosystem of entrepreneurs. As the country advances toward its independence centenary, this trajectory looks increasingly promising.

Set to become the world's fourth-largest economy in 2025, India has seen its consumption double to \$2.8 trillion over the past decade, according to World Bank data. India's large and diverse consumer base positions the economy for continued growth, across economic cycles. The consumer is aspirational, experiential, and ambitious.

A bold bet for a long-term investor would be to create a portfolio of assets that benefits from this consumer growth, and that is powered by urbanisation,

physical and digital infrastructure, and domestic capital formation.

Investment performance and returns are strongly influenced by business owners and managers. India has a deep bench of both established family-owned firms and a new wave of businesses led by independent founders or members of industrialist families, who seek to create new pillars of growth.

Family-owned businesses have been a cornerstone of India's economy, accounting for 79% of the country's GDP—one of the highest percentages in the world. Many were not built overnight: they had modest beginnings, but grew over generations, strengthening their vision and capacity. With this multi-generational outlook, these businesses have stayed true to their core values and remained resilient through economic cycles, whilst building strong brands that foster customer trust and loyalty. Many have emerged as category leaders, demonstrating impressive track records and remarkable resilience across market cycles.

Temasek has formed partnerships with many family-owned businesses, including investments in Bharti Telecom, Godrej Consumer